their forex exposures. As persuasion did not work, we had to eventually issue a regulatory mandate that every bank should have a board-approved policy regarding hedging of forex risks by its corporate borrowers, including small and medium enterprises, and that they should take into account the risk of unhedged foreign exposures in pricing the credit risk premium.

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The currency turmoil in emerging markets continued all through May and June 2013. It did not help that Bernanke reiterated his message about the taper with a follow-up statement in a press conference in June 2013 that if the US economy continued to improve, they could start winding down the asset purchase programme in 2013 and wrap it up in 2014. Markets around the world sold off aggressively on the news, with major indices dropping more than 1 per cent.

At home, because the exchange rate adjustment was not yet complete, the rupee continued to slide with no obvious reversal in sight even as the calendar turned to July 2013. The rupee problem required my undivided attention which meant that I had to pare down most other commitments. I felt guilty though, as there were only two more months to go of my tenure and I had piled up a huge number of commitments. Most of all, I wanted to complete visiting all the regional offices of the Reserve Bank. There are altogether twenty-nine of them across the country and I had visited twenty-seven; I wanted to go to the remaining two—in Kanpur and Shillong—before I stepped down, but that remained an unfulfilled wish. I had attended the BIS bimonthly meetings of governors fairly regularly and I was looking forward to attending the June-end meeting which would be my last, but I decided to skip that. All through my tenure, I tried to honour all speaking commitments, as I was conscious that postponing at the last minute would be very disruptive to the hosts, but with my schedule going haywire, I had to opt out of them as well.